

APPLIED DIGITAL CORP APLD

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by

[bluewater12](#)

2024 2025

Price:	7.50	EPS	0	0
Shares Out. (in M):	220	P/E	0	0
Market Cap (in \$M):	1,650	P/FCF	0	0
Net Debt (in \$M):	100	EBIT	0	0
TEV (in \$M):	1,550	TEV/EBIT	0	0

Description

I'm long APLD.

Applied Digital is a developer of next-generation infrastructure for AI. They have two segments: (i) custom-built, high-performance data centers; and (ii) GPUs as a service. Applied is currently focused on a large 400MW data center project in Ellendale, ND, and is marketing a 1.4GW pipeline of additional capacity. Please see the company's latest [presentation](#) for more details.

There is a frenzy for compute power by both hyperscalers and Fortune 500 companies, covered extensively everywhere you look. Power and datacenter capacity is the new bottleneck. Nvidia's CEO, Jensen, just [discussed](#) the need to modernize a trillion dollars worth of data centers to tap into AI's potential. APLD is a first mover aiming to capture this opportunity.

But let's get straight to it. The market thinks Applied Digital is a promote. A crypto-to-AI grift. The company has been attacked by reputable short sellers ([Wolfpack](#), [Friendly Bear](#), [BearCave](#)) and currently sports a 20+% short interest. Woof.

The short thesis generally centers around attacking the company's CEO, origin story, and lack of industry experience. The rest of the points are irrelevant to the story or have already been refuted by company actions. So the remaining short thesis: CEO Wes Cummins is orchestrating a promote and can't be trusted... Applied is just chasing the market stories to keep the game going...Applied will never sign a real lease with a hyperscaler customer...There is no way Applied can compete with legacy data center players.

I strongly disagree with those assertions. This is why the opportunity exists.

CEO Wes Cummins is a hedge fund guy and a tenured short seller. I've known Wes to be smart, hard working, ambitious and entrepreneurial. He started the company in 2021 as a venture to marry distressed Chinese crypto mining assets with low cost stranded power in the US. Like all startups, there are countless zigs and zags. Like most entrepreneurs, Wes is an optimist. Wes saw the wave of compute demand rising, along with a lack of adequate industry capacity, and went all in to be a leader in this new next-gen datacenter industry. APLD is not chasing crypto conversions, they aim to be a leader in purpose-built greenfield next-gen facilities.

"Luck is where preparation meets opportunity."

APLD's experience in developing power hungry crypto hosting sites in low-cost power locations was the perfect preparation for today's AI opportunity. APLD's foray into North Dakota for cheap electricity to fund crypto mining left the company with relationships and access to massive low cost power, low cost land with space for expansion, room for additional wind/solar farms to be integrated, state tax incentives, and cooler temperatures which are beneficial for the TCO of high density AI data centers. A healthy dose of luck contributed to locking up this opportunity, but industry participants have told me you cannot underscore just how valuable this power and first mover advantage is for prospective customers. If GPUs are the pickaxes behind the AI revolution, power guys are swinging the axes.

I strongly encourage anyone interested to listen to Wes and APLD's origin story in a recent [interview](#). Investors can be critical of Wes's optimistic timelines and guidance, but this is a startup that has gone from chasing rabbits to hunting elephants, all while under public company scrutiny. Wes has never sold a share of APLD and his largest investors, including his previous employer, have only added to their position over time. That is the exact opposite of a pump and dump. Wes has also never fought back against the short sellers and one of his last twitter posts was [defending](#) that notion.

For the record, I'm a huge fan of one of the OG shortsellers, FriendlyBearSA. Just last week he [posted](#) "Apparently there were more funds long \$apld than short at the recent short seller convention. Sign of the times for where we are in the fraud cycle." Maybe these short sellers got lazy and want to play hot potato with a promote. Or, maybe, they have talked to the utilities, sat in town hall meetings in North Dakota, talked to potential hyperscaler customers and talked with private next-gen data center players that have validated what Applied Digital is building.

Applied Digital has put hundreds of millions into the ground already on spec and is full speed ahead. Wes has hired smart people and is working to use his relationships, knowledge, and risk taking acumen to win in the next-gen buildout race. See the latest [update video](#) here. Ellendale is a very real project.

Why Now

APLD has been tainted by shortsellers for crypto, B Riley, and other tangential allegations. Applied Digital has missed timelines and was talking about an imminent hyperscaler customer agreement back in April. It is now October. Skeptical investors have concluded that Ellendale is not real and there is no credible hyperscaler customer. APLD even resorted to using Yorkville to raise capital, a funder of last resort and a red flag.

This narrative did a 180 on September 5th when the company raised \$160mm from Nvidia, Related Companies, and other institutional investors. This was a huge vote of confidence from investors and market participants that went across the wall and performed deeper diligence into the potential hyperscaler

customer, power contracts, 1.4 GW backlog, etc.

Based on our conversations with industry participants - power providers, competitors, bankers, investors, hyperscalers - and a review of publicly filed utility information, we believe APLD is the real deal and has a chance to be a leader in the next gen data center buildout. We believe the delays are a function of the complexities of putting together the lego blocks of a very large project with power, financing, customers, and investors. We believe Ellendale is one of the most high-demand projects on the market and that a hyperscaler lease announcement could come any day. APLD's CRO recently [slipped up](#) at an industry conference when being interviewed by enthusiasts and said an announcement was coming in a few weeks. The original video was pulled and the twitter account was blocked for violating terms.

Applied Digital's hyperscaler delay could also be a function of grander ambitions by Applied, hyperscaler customer, power providers, and the state of ND. There is [industry chatter](#) that much larger projects are being explored in North Dakota for the reasons previously mentioned.

Unit Economics and Valuation

HPC Data Centers

The rule of thumb for data centers is it costs \$8-12 million per MW to build and each MW can generate ~\$1mm of NOI. APLD's 400MW Ellendale project will be a \$4 billion capital investment secured by a long term lease with a AAA hyperscaler tenant. The project will be funded with \$3+ billion of low cost, project level debt and generate \$400 million of NOI - using a 5-6% cap rate (and giving no credit for the 1.4 GW backlog) equates to a \$6.7-\$8 billion TEV.

Locking in a long-term lease could be worth \$3.7b-\$5b of equity, or \$17-\$23/share, undiscounted. Each 100MW of backlog is theoretically worth \$5/share using the same math. If Applied is able to lock in 1.4GW of projects, that's an additional \$70/share of value that could be created. Haircut all of this however you prefer. The numbers can get wild.

Applied Digital Cloud

This segment has not been a focus for the company or the investment community recently, but is an underappreciated lotto ticket. Think of it as an early-stage CoreWeave. The business model is simple: they purchase GPUs from NVDA, install them in data centers, and lease them to customers for a fixed contract term that is typically 2-3 years. The GPUs typically pay for themselves during the initial lease term, leaving Applied Digital Cloud owning them free and clear at the end of the lease term for several more years of use. Applied takes very little risk here because at the time they purchase the GPUs there is already a contract in place for a full pay back of the equipment.

The NVDA investment is especially important for this segment because this is where NVDA can drive Applied's future success. The hyperscalers are working on their own chips and are frenemies, so it is in NVDA's long-term interest to ensure that there is a healthy ecosystem to support the consumption of their GPUs. They want companies like Applied and CoreWeave to prosper. NVDA can assure Applied's success in a variety of ways by providing: (i) early allocations of the latest products; (ii) the best customer prospects who want to consume NVDA's products as a service; and (iii) capital.

Consider what NVDA's support did for CoreWeave. NVDA invested \$100MM in CoreWeave in 2023 at a \$2BN valuation ([press release](#)). As of September 2024 CoreWeave was raising money at a \$23BN valuation ([Reuters article](#)).

Valuing this segment is tricky because it is just getting started. If we assume it's worth just 10% of CoreWeave, that's \$2BN or \$8/sh. And it goes up from there. In the fullness of time, if Applied Digital Cloud prospers, then the company will spin this out as a separate company.

The High Level Setup

If/when Applied Digital locks in a hyperscaler lease for Ellendale at industry standard economics, APLD will go to hero from zero. Wes will be viewed as an entrepreneur who executes, not a promoter. The backlog will go from being a pipedream to a real opportunity that should be valued.

APLD is currently uninvestable to most institutional investors. Further industry validation will drive a perception U-turn. Applied Digital will be the only pure play next-gen data center player in the public markets. There is no short thesis when NVDA and Related are anchor investors and a hyperscaler is a long-term partner and customer. APLD will fundamentally be worth a lot more than current prices, but the stock could disconnect from any fundamental grounding as a result of being a public pureplay on the next AI bottleneck. *The right tail asymmetry of this investment is under appreciated.*

Risks:

Failure to sign a hyperscaler tenant - for project-specific, general industry, or macro reasons.

Economics of projects worse than expected.

Slower ramp up and project execution risk.

More dilution for future facilities or current burn.

Single asset valuation is lower.

I go 0-3 going long heavily shorted names on VIC. Of note, I have never traded a share of APLD until the 9/5 investment which validated the company, in my

opinion. I have not talked to Wes about APLD or its prospects over the past couple years other than the occasional good luck text.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Earnings updates/Project Announcements/etc.

Messages

Subject	Questions
Entry	10/04/2024 12:31 PM
Member	tahoe88
- Why is the HPC data center a 5-6% cap rate? It's in ND, even with the hyperscale credit, thats not where assets in these locations would trade - Non-discounting is important because it will likely take several years for them to build out the rest of the 400 MW campus (only the first 100 MW is under construction now) - Coreweave is a market leader in a complicated industry where scale is key. Just saying APLD is worth 10% is a gross overestimate. These guys have zero expertise in this business, which is likely just a cash incineration machine currently with no real hopes of scaling I'll just leave this here - it isn't just short sellers "attacking" the company https://storage.courtlistener.com/recap/gov.uscourts.txnd.380172/gov.uscourts.txnd.380172.31.0.pdf	
Subject	Re: Questions
Entry	10/06/2024 11:29 AM
Member	BlueFIN24
- If data centers trade at that cap rate, why wouldn't this? Not sure why ND is a negative - this is the area that these hyperscalers are focused on. It's cold, has stranded wind and is close to a big fiber optic highway. https://www.datacenterdynamics.com/en/news/two-companies-seek-to-develop-125bnai-data-centers-in-north-dakota/ - I think they said 12-18 months to get the other 300 MW online. This isn't like a five year project. - That court case is just a rehash of the short attacks I think the bottom line is that if these guys announce a deal with a hyperscaler in the next month - the stock doubles. The economics of an ellendale lease would suggest at least that - your counter party is Microsoft, Google, Meta and you've got a 15 year lease and that lease is generating \$400mm a year in NOI. There would be some time lag and maybe there are some Capex over runs but that is offset by the fact that more of these sorts of leases can be signed.	
Subject	Still following?
Entry	04/03/2025 06:09 PM
Member	vincent975
Thanks for the idea. Any update? Best, Vincent	
Subject	Re: Still following?
Entry	04/04/2025 01:07 PM
Member	bluewater12
No update unfortunately. Still waiting on a lease and validation of their asset(s) and potential. If you have access to Tegos, highly recommend reading the recent CORZ call where someone seemingly very knowledgeable at MSFT explains why they stepped away from Ellendale (they had plans to do 1-5gw of capacity there, and APLD said that was too big for them to handle) and how another hyperscaler (AWS) immediately stepped in and wanted to lease the asset. Does the macro environment change the odds? Maybe. If not, APLD <\$5 is very attractive given its a next-gen, low-cost asset that's almost ready to go - with support from very reputable investors, including a big partnership with Macquarie Asset Management.	
Subject	Re: Re: Still following?
Entry	04/15/2025 10:52 AM
Member	lars
Hi bluewater12, Data center lease taking longer then expected - apparently demand is higher, but taking longer and "my understanding is it's also just not uncommon for some of these to consume a lot of data center capacity, take a break and then come back". Cloud Services deployed additional GPU clusters, but revenue is down substantially QoQ, more capacity moving to on-demand, and looking to sell the business. Any reasons not to take this as a substantial negative for AI infrastructure demand?	
Subject	Re: Re: Re: Still following?
Entry	04/15/2025 03:15 PM
Member	bluewater12

Ouch. I'm not sure the probabilities have changed regarding getting an investment-grade hyperscaler as a tenant for Ellendale, but the market strongly disagrees with me.

Re the cloud business, they articulated what changed there and its kind of a moot point since they are looking to divest it. I wouldn't over weight APLDs mismanagement of that non-core business (or miscommunication regarding pricing strategy change) as indicative of AI demand going off a cliff. Lots of data points to the contrary so I think this is one-off. That said, its not good.

I think there is just a lot of capitulation based on operational missteps (although not at Ellendale), exhaustion re lease promises and expectations, and now financing concerns. This all goes away if they sign a lease, but until then all bets are off.

This comes down to do you believe that the billion+ they've dropped to build a top of the line next-gen box in ND is worth something – and can they navigate monetizing it with only sharks as customers. If you think this asset will be used, this stock price is a really attractive r/r. I'm not sure why a hyperscaler or coreweave wouldn't just buy them out completely. Its cheaper than lease payments and accretive long term. Again, you have to believe that a ND box with often negative power prices (from clean energy) is a good asset. I do.

PS - this job/game/mindfuck we do for a living is really hard. really really hard.

Subject	Re: Re: Re: Still following?
Entry	04/15/2025 03:35 PM
Member	lars

Definitely hard. Hang in there - better days ahead for sure.

Subject	customer cancellation
Entry	04/15/2025 05:02 PM
Member	dynamicmoats

Deal might've fallen through.

April 3rd news

[Microsoft Corp.](#) has pulled back on data center projects around the world, suggesting the company is taking a harder look at its plans to build the server farms powering artificial intelligence and the cloud.

The software company has recently halted talks for, or delayed development of, sites in Indonesia, the UK, Australia, Illinois, North Dakota and Wisconsin, according to people familiar with the situation.

Subject	Questions
Entry	04/23/2025 10:21 AM
Member	vincent975

Thanks for updating the board on this name.

A few questions:

1. Liquidity is tight especially with massive negative WC. They raised funds from SMBC but where do they get incremental near-term capital?
2. What's your estimate for the value of the GPU as a service business given the strategic alternatives process. Gross assets are \$387 MM. The good news is the financing leases and some negative WC would theoretically travel with that business. Wes also mentioned some value in the third-data center capacity that's at "2023 pricing".
3. What do you think the value of the HPC Hosting Business is in the event a customer is not announced (in say 2025)? They've spent \$800 MM+. Where do you think this can be monetized?
4. Data Center Hosting (MARA biz) has ~\$50 MM of EBITDA with ~2yrs remaining on contracts. Is this sustainable and what do you think it's worth?

I realize this is a lot of questions but I am looking at this from the convert perspective – 2.75s in the 60s and trying to calculate recovery value in a downside scenario. Figure creation value at market is in the \$700 MM area (assuming cash is burned).

Best,
Vincent

Subject	\$150 MM Preferred Facility
Entry	05/01/2025 11:47 AM
Member	vincent975

Applied Digital Enters Into a \$150 Million Convertible Preferred Equity Facility to Advance Development of Ellendale Multi-Building HPC Campus. This certainly helps with liquidity. Seems like they have decent institutional support.

Subject	Re: Re: Re: Still following?
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Entry	10/13/2025 03:42 PM
Member	vincent975
Congratulations! Terrific call. Best, Vincent	

Subject	new CFO = MVP
Entry	10/22/2025 08:44 AM
Member	Thor25
This stock has 5x'd since the new CFO took over. Whatever they are paying him, it's not enough!	